normally conduct exchange business because of the risks involved and this business was left to the agency houses. As noted before, after 1876, the Presidency Banks were prohibited from conducting foreign exchange business by the Presidency Act of 1876.

Thus, it was only in the 1850s that British banking actually reached India. In that decade, four banks started to function as chartered institutions: the Chartered Bank of India, Australia and China and the Chartered Bank of Asia in 1853, and the Chartered Mercantile Bank of India, London and China, and the Agra and United Services Bank in 1857. The Chartered Bank of Asia was dissolved after four years leaving only three exchange banks in 1860. At the outbreak of the First World War, these banks were twelve in number. Out of these, four were branches of non-British institutions, specifically, French, German, and Russian banks. By that time, the exchange banks constituted an important part of the modern enclave in the Indian economy.

In 1870, the deposits of the three exchange banks were a mere 4 percent of the deposits of the three Presidency banks. From 1870, these banks registered extremely rapid growth and by 1913, the deposits of the twelve banks were 70 percent of the three Presidency Banks and more than 25 percent of those of the whole banking system. The offices of the exchange banks were concentrated in a few large cities and at the outbreak of the First World War their share in the banking resources of these centres were in excess of one-fourth.[14] By 1893, the only English bank that continued to do business under a royal charter was the Chartered Bank of India, Australia and China. It was in this bank that Sir Sorabji Pochkhanawala started his banking career as a lowly clerk.

THE PLAN OF THE BOOK

This book attempts to showcase the achievements and contributions of six distinguished personalities from the world of banking who played a pioneering role in the founding of new institutions, or who guided the destiny of an institution in such a manner as to leave their impress on it for many years to come. The careers and contribution of these six personalities is narrated through the history of five institutions: the Central Bank of India; the Reserve Bank of India (RBI); the State Bank of India (SBI); the